

SUBORDINATED PERFORMANCE PROMISSORY NOTE

(Seller Note B)

Original Principal Amount:	\$120,000
Date:	July 15, 2026
Place:	Rockford, Illinois

FOR VALUE RECEIVED, Northgate Acquisition LLC, an Illinois limited liability company ("Maker"), promises to pay to the order of Ray Kowalski, an individual ("Holder"), the Adjusted Principal Amount (defined below), together with interest as provided below.

1. Interest. Interest shall accrue at the rate of six percent (6%) per annum, computed as simple interest, from the date of this Note. Interest that accrues during the Standby Period shall not be paid currently; it shall be added to the Adjusted Principal Amount at the end of the Standby Period and amortized with it. Upon determination of the Adjusted Principal Amount, interest accrued during the Standby Period shall be recomputed on the Adjusted Principal Amount from the date of this Note.

2. Standby Period. No payment of principal or interest shall be made during the twenty-four (24) months following the date of this Note (the "Standby Period"). The Standby Period ends on July 15, 2028.

3. Performance Adjustment. If Trailing Twelve Month Revenue of the business acquired by Maker, measured as of the last day of the twenty-fourth (24th) full calendar month after the date of this Note (the "Measurement Date"), is less than Three Million One Hundred Thousand Dollars (\$3,100,000) (the "Revenue Threshold"), then the principal amount of this Note shall be reduced, dollar for dollar, by the amount by which Trailing Twelve Month Revenue is less than the Revenue Threshold; provided, however, that the principal amount shall in no event be reduced below Sixty Thousand Dollars (\$60,000) (the "Floor"). The principal amount as so adjusted is the "Adjusted Principal Amount". If Trailing Twelve Month Revenue equals or exceeds the Revenue Threshold, the Adjusted Principal Amount shall be the Original Principal Amount. "Trailing Twelve Month Revenue" means gross revenue of the business for the twelve full calendar months ending on the Measurement Date, determined in accordance with GAAP consistently applied, excluding revenue from any business acquired by Maker after the date of this Note.

4. Repayment. Following the Standby Period, the Adjusted Principal Amount plus interest accrued during the Standby Period shall be repaid in thirty-six (36) equal consecutive monthly installments of principal and interest, amortized at six percent (6%) per annum. **The first installment shall be due on August 15, 2028,** and subsequent installments shall be due on the fifteenth (15th) day of each calendar month thereafter, with the final installment due on July 15, 2031.

5. Subordination. This Note is subordinate to the loan made by Harbor Federal Bank to Maker under the SBA 7(a) program and is subject to the Standby Creditor's Agreement of even date. Payments under Section 4 are permitted only to the extent allowed by that agreement and so long as no default exists under the SBA Loan.

6. Prepayment. After the Standby Period, Maker may prepay this Note in whole or in part without premium or penalty, subject to the consent of Harbor Federal Bank if then required.

7. Default. Failure to pay any installment within ten (10) days after its due date shall constitute an event of default, after which Holder may, subject to Section 5, declare the unpaid balance immediately due.

8. Governing Law. This Note is governed by the laws of the State of Illinois.

MAKER: Northgate Acquisition LLC

By: /s/ Dana Whitfield

Name: Dana Whitfield

Title: Managing Member

Acknowledged by Holder:

HOLDER:

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Individually